

Article | 17 July 2026

KEY EVENTS

THINK Ahead: No football? Watch these market fixtures instead

Fill the World Cup-shaped hole in your diary with James Smith's guide to a hot summer in financial markets. From central banks to inflation, it's a line-up promising upsets and maybe even the occasional own goal...



No football? No problem. The weeks ahead are packed with market-moving events

Seven summer fixtures for markets

The World Cup is over. Well, it is for England anyway. And if, like me, you're still coming to terms with yet another World Cup disappointment, the [BBC had some advice](#) this week: Focus on the wins!

Not helpful if you're German or Dutch (there just weren't very many – sorry guys!). And perhaps best not to mention “there's always next time” to the Italians – for whom there hasn't been a next time for 12 years now...

Fortunately, markets have their own summer fixture list to fill the World Cup-shaped void. Central banks, data, politics: it's a line-up that promises upsets and, dare I say it, the occasional own goal...

20 July: Britain's new prime minister

The summer transfer window is open and Britain's getting a new prime minister on Monday. Disgruntled football fans aren't the only problem Andy Burnham inherits. Inflation is set to edge closer to 3.5% this summer, keeping borrowing costs elevated and chipping away at his fiscal wiggle room.

We don't know much about his plans for the Autumn Budget yet, but it's likely some of his bolder ambitions will get parked in favour of easier – and cheaper – initiatives on the cost of living. The knock-on effects for the Bank of England needn't be huge.

This is all fairly consensus now, speaking to investors recently. But British politics has taught us to expect the unexpected. A big budget can't be ruled out – and personally I don't think a snap election can, either.

23 July: European Central Bank decision

The ECB isn't one for surprises. And with less than a 10% chance of a rate hike priced in at next week's meeting, it's hard to see Frankfurt rocking the boat.

Yet energy prices, particularly gas, are dragging the ECB closer to its June base case again. Those forecasts envisaged core inflation above target for the foreseeable future, even with one further rate hike.

[My colleague Carsten Brzeski argues](#) there is a case for acting sooner rather than later. Still, a move in September is much more likely, and that's our base case.

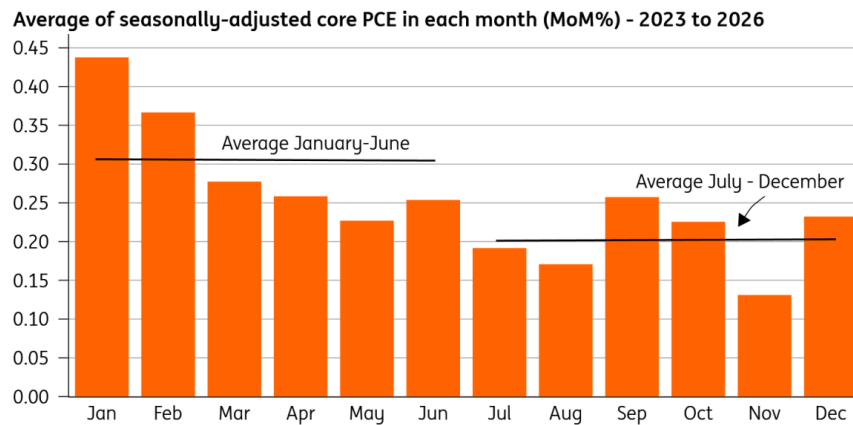
30 July: US core PCE inflation (and 12 August for CPI)

[This week's US inflation figures](#) were super benign. Core CPI was flat on the month for the first time since 2021. And it's well-timed; even prior Fed doves like Christopher Waller have been setting the scene for rate hikes.

One reading doesn't make a trend. Officials are clear that several months of better data are needed. And the Fed's preferred PCE inflation gauge could come in a tad hotter than CPI later this month, boosted by measurement differences for air fares, medical care and portfolio management fees.

Still, our man in the US, James Knightley, is optimistic. He sees four reasons why inflation should start to turn a corner: limited upside from gasoline prices (barring another big spike in crude), subdued wage growth, falling rental growth and the end of tariff inflation. I'd add a fifth: core PCE has repeatedly been softer in the second half of the year since 2023, hinting at lingering seasonality issues. Check out the chart below...

US core PCE inflation tends to be more benign later in the year



Source: Macrobond, ING

30 July: Bank of England decision

I think a rate hike is still unlikely this summer, even if inflation is still a worry. Officials said last summer that it's more problematic when headline inflation goes above 4%. And we're still some way off getting there. Plus, services inflation is set to edge lower next week. Private sector wage growth has further to fall, having already dipped below the 3.25% level the Bank says is consistent with a 2% inflation target over the longer term.

July's meeting may therefore look much like June's, when policymakers voted 7-2 to leave rates unchanged. I do not expect hikes this year and still think cuts will return in 2027.

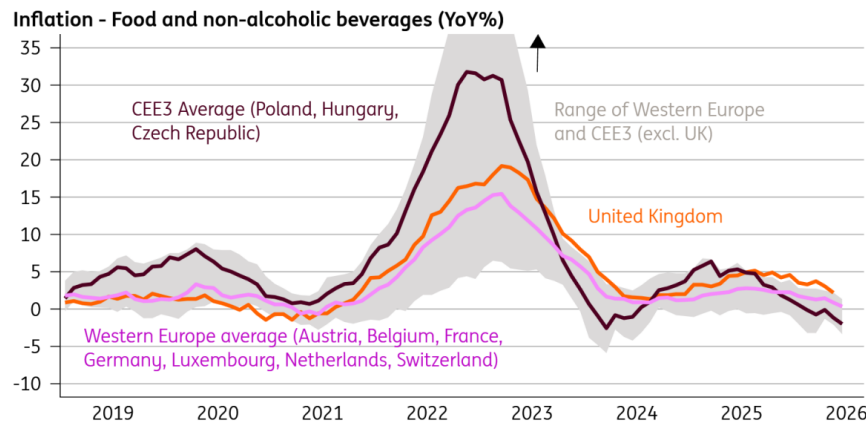
Seeing out the match rather than launching a fresh attack... Thomas Tuchel for Bank of England governor?

31 July: Eurozone inflation

[Better-than-expected June inflation](#) is another reason the ECB can afford to be patient this month. Energy is helping, but food inflation is a real surprise. It's below ECB forecasts, and remember this is where so-called second-round effects of higher energy prices are supposed to show up. They still might – this won't be settled for several months, but for now the news is promising.

The more pressing question is what happens to core inflation. The ECB expects it to edge up in the third quarter and it would presumably take both a meaningful downside surprise and lower geopolitical tensions to derail a September hike.

European food inflation has surprised lower



Source: Macrobond, ING

7 August: US jobs report

The whole reason the Fed is singularly focused on inflation right now is because the jobs market appears to have turned a corner. Yet it's a mixed picture. Last month's payrolls data featured big downward revisions. And some vacancy measures dispute the uptick we've seen in the official numbers.

Participation – the share of the workforce either employed or seeking work – has fallen, raising questions about why people are moving to the sidelines of the jobs market. That'll be a key question for the August decision.

That all said, James Knightley is tentatively looking for a 75,000 increase in July's payrolls. That's unlikely to rock the boat for the Fed.

27-29 August: Fed Jackson Hole conference (plus 29 July Fed meeting)

Kevin Warsh has been more hawkish than most expected. But is that because he genuinely thinks rates need to rise as nine of his colleagues did last month, or is it just tough talk to keep markets on his side? We suspect it's more likely the latter – the central bank equivalent of keeping possession and running down the clock (that one doesn't even make sense, does it?).

But Warsh's preference for saying little means we might not learn much more this summer. His big thing is abolishing forward guidance, though nobody seems to have told his colleagues. Last week's Fed minutes and a speech by Christopher Waller were both surprisingly clear about what the Fed needs to see to avoid a rate hike.

That means it's the data – particularly those inflation figures – that will do the talking. One

inflation clean sheet is encouraging; two or three start to look like a winning streak. My US colleagues don't expect rate hikes this year.

THINK Ahead in developed markets

United States (James Knightley)

The Federal Reserve has entered its quiet period ahead of the July 29 FOMC meeting. Market expectations for a potential rate hike receded following the June CPI, PPI and Beige Book reports that all pointed to softer-than-anticipated inflation pressures. Pricing suggests just a 10% chance of a hike on 29 July, whereas before those inflation prints, it was seen as a coin toss. We continue to argue that lower energy prices, weak wage growth, slowing housing rents and a diminishing influence from tariffs will keep the disinflation trend in place and the Fed won't need to hike rates.

Next week's data calendar is also light, with home sales the most notable release. As such, markets will remain focused on Middle East developments and the price of oil, together with a heavy calendar of corporate earnings numbers, with several of the big tech companies set to report next week.

Eurozone (Bert Colijn/Carsten Brzeski)

- **European Central Bank (Thurs):** While we expect the ECB to stay on hold next week, a surprise hike should not entirely be ruled out. [Read our full preview](#)
- **Purchasing Managers Index (Fri):** Last month's PMI didn't fully incorporate the reopening of the Strait, but this month's will likely have already missed the most optimistic take on things. With the conflict flaring up again, immediate hopes of a swift reopening are thrown into uncertainty. This leaves a cautious view of the economy as the most likely outcome. Perhaps a bit more positive than last month, but the timing of answering the survey will remain key. Underlying, economic growth seems set for very muted growth in the short run. So no expectations of miracles yet.

United Kingdom (James Smith)

- **Jobs report (Tues):** The UK jobs market remains under pressure and recent payroll data has shown little sign of a turnaround, particularly in the embattled consumer services sector. Private sector pay growth is biased lower in the near-term as a result.
- **Inflation (Weds):** Lower petrol prices should help headline CPI nudge slightly lower. Services inflation is set to fall too. Inflation is set to rise in July as household energy bill hikes kick in, but we still expect it to peak below 3.5% this summer.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industrial production (Mon):** Even though the June manufacturing PMI disappointed, we still expect solid growth in industrial output. The calendar effect is more favourable, with one additional working day year-on-year, and the base effect is supportive, as June 2025 was particularly weak in several volatile manufacturing sectors. We forecast that PPI remained positive in annual terms after many quarters of deflation, although inflation likely moderated as producer price growth came to a standstill on a month-on-month basis in June.
- **Construction output (Mon):** Polish construction activity is catching up after a weak start to the year caused by adverse weather conditions. Combined with a favourable calendar effect and a strong investment pipeline for 2026, we would not be surprised to see another solid year-on-year increase in June. Civil engineering should continue to benefit from robust public investment, while growth in building construction may be somewhat constrained by the weak performance of residential construction, as this segment of the market appears oversupplied.
- **Wages & Employment (Mon):** Wage growth is generally moderating, but the higher number of working days likely pushed the annual growth rate slightly above the levels recorded in the previous two months. Even so, the cooling labour market and the absence of significant wage pressures following the strong increases in compensation seen over the past three years mean that wages are becoming less of a concern for monetary policy as a potential source of inflationary pressure. Employment in the enterprise sector continues to decline in annual terms, although we expect a seasonal increase in the number of jobs compared with May.
- **Retail sales (Wed):** Following the initial hit from the surge in petrol prices, consumer confidence has improved in recent months. As a result, we expect solid demand for durable goods. Recent volatility in retail sales has been driven by the timing of Easter-related purchases and fluctuations in fuel demand amid soaring oil prices. Following the mid-June announcement of measures aimed at containing retail fuel prices, including lower excise duties and VAT rates combined with a price cap, demand for fuel likely increased sharply in the second half of the month as motorists anticipated higher prices ahead. Indeed, fuel prices rose noticeably at the beginning of July.

Hungary (Peter Virovacz)

- **Base rate (Tue):** This time, there is no need to outsmart or overthink anything or anybody. National Bank of Hungary Governor Varga announced the 'mini rate-cut cycle' for the summer in June, and nothing we have seen so far has knocked the plan off course. Against this backdrop, we anticipate a 25bp reduction in the base rate, bringing it down to 5.75%. Looking ahead to the remainder of 2026, we forecast further easing, with three or four additional rate cuts following July's move.

Czech Republic (David Havrlant)

- **Consumer and business sentiment (Fri):** Both consumer and business sentiment likely softened marginally in July, reflecting renewed geopolitical tensions in the Middle East, with significant implications for both energy prices and uncertainty. That said, Czech manufacturers and consumers have shown considerable resilience so far.

Turkey (Muhammet Mercan)

- **Central bank decision (Thur):** The policy outlook has shifted in recent days, both because of geopolitical tensions which have pushed oil prices above US\$80/bbl, and a decision to gradually unwind a sliding scale tariff mechanism, which reduces the room to absorb the impact of higher oil prices, despite measured regulated price hikes. This backdrop will likely lead the central bank to be more cautious in easing liquidity conditions. We expect the policy rate and corridor structure to stay unchanged at the July MPC meeting and the bank to continue funding from the upper band of the corridor, in the near term.

Kazakhstan (Dmitry Dolgin)

- **Base rate (Fri):** We expect the National Bank of Kazakhstan to hold the policy rate at 17.00%, as, following the surprise cut in June, CPI showed no material decline and remained in double-digit territory at 10.3% YoY, while forward-looking indicators continue to warrant caution. The strength of the KZT remains a disinflationary factor, though declining state support for the local FX market is something to watch.

Key events in developed markets

THINK economic and financial analysis

Country	Time Data/event	ING	Prev.
Monday 20 July			
Canada	1330 Jun CPI (MoM%/YoY%)	-0.2/3.0	1/3.2
	1330 Jun Core CPI (YoY%)	2.3	2.2
Tuesday 21 July			
UK	0700 May Unemployment Rate (%)	5.0	4.9
	0700 May Employment Change (000s)	80	100
	0700 May Average Weekly Earnings (3M YoY%)	4.5	4.4
	0700 May Average Weekly Earnings ex Bonus (3M YoY%)	3.4	3.4
Wednesday 22 July			
UK	0700 Jun Core CPI (YoY%)	2.5	2.6
	0700 Jun CPI (MoM%/YoY%)	0.1/2.7	0.2/2.8
	0700 Jun Services CPI (YoY%)	3.5	3.7
Thursday 23 July			
US	1330 Initial Jobless Claims (000s)	215	208
Eurozone	1315 ECB Rate Decision (%)	2.40	2.40
	1315 Jul ECB Deposit Rate (%)	2.25	2.25
	1500 Jul Consumer Confidence Flash	-16.5	-17.7
Canada	1330 May Retail Sales Final (MoM%)	1.3	0.5
Friday 24 July			
US	1445 Jul S&P Global Manufacturing PMI Flash	-	53.9
	1445 Jul S&P Global Services PMI Flash	-	51.2
	1445 Jul S&P Global Composite PMI Flash	-	51.9
	1500 Jun New Home Sales (000)	620	580
Eurozone	0900 Jul HCOB Manufacturing PMI Flash	51.4	51.4
	0900 Jul HCOB Services PMI Flash	49.4	49.4
	0900 Jul HCOB Composite PMI Flash	50	50
Germany	0700 Aug GfK Consumer Sentiment	-28	-29.2
	0830 Jul HCOB Manufacturing PMI Flash	50.8	50.3
	0830 Jul HCOB Service PMI Flash	48.7	48.6
France	0830 Jul HCOB Composite PMI Flash	49.7	49.5
	0815 Jul HCOB Composite PMI Flash	-	47.2
	0815 Jul HCOB Manufacturing PMI Flash	-	51.2
UK	0815 Jul HCOB Services PMI Flash	-	46.8
	0700 Jun Retail Sales (MoM%/YoY%)	-/-	1.2/3.2
	0930 Jul S&P Global Composite PMI Flash	50.4	49.3
Sweden	0930 Jul S&P Global Manufacturing PMI Flash	52.0	52.5
	0930 Jul S&P Global Services PMI Flash	50.0	48.8
	0700 Jun Unemployment Rate	-	9.4

Source: Refinitiv, ING

Key events in Central and Eastern Europe

Country	Time (BST)	Data/event	ING	Prev.
Monday 20 July				
Poland	0830 Jun	Employment Growth (YoY%)	-0.8	-0.9
	0830 Jun	Industrial Output (YoY%)	9.2	4.1
	0830 Jun	PPI (YoY%)	-1.7	2.4
	0830 Jun	Wages (YoY%)	6.5	5.8
Tuesday 21 July				
Hungary	1300	Rate Decision (%)	5.75	6.00
Wednesday 22 July				
Russia	1700 Jun	Industrial Output (YoY%)	0.1	-0.7
Poland	0830 Jun	Retail Sales (YoY%)	5	3
	1300 Jun	M3 Money Supply (YoY%)	11.3	11
Thursday 23 July				
Turkey	0800	Consumer Confidence	-	87.9
	1200	Rate Decision (%)	37	37
	1200 Jul	Overnight Lending Rate (%)	40	40
	1200 Jul	Overnight Borrowing Rate (%)	35.5	35.5
	1230	Gross FX Reserves (USD bn)	-	54.3
Poland	0830 Jun	Unemployment Rate (%)	5.8	5.9
Friday 24 July				
Czech Rep	0800 Jul	Consumer Confidence	106.1	106.5
	0800 Jul	Business Confidence	99.7	99.8
	0800 Jul	Composite Confidence	100.9	101
Russia	1130	Rate Decision (%)	14.25	14.25
Hungary	0730 Jun	Unemployment Rate (%)	4.3	4.3
Kazakhstan	0800	Rate Decision (%)	17.00	17.00

Source: Refinitiv, ING

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THINK economic and financial analysis

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Article | 14 July 2026

UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve



US CPI for June was lower than expected and led by falling gasoline prices

2.6%

Annual rate of core inflation

Lower than expected

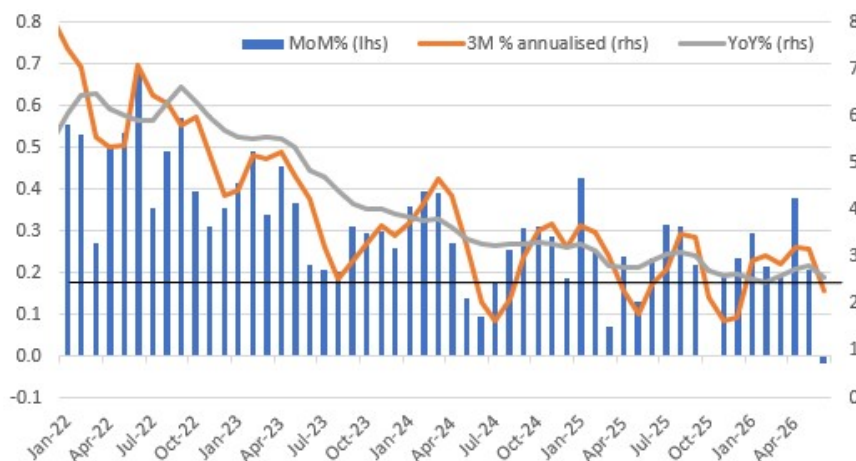
US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a

result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to

take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have “no tolerance” for persistently high inflation, which really shouldn't be any new ‘news’ seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as ‘forward guidance’ given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at \$80/bbl remains historically consistent with retail gasoline prices of around \$3.75/gallon, below the current level of \$3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn't appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday's June data, the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other

tariffs. With perhaps another \$80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

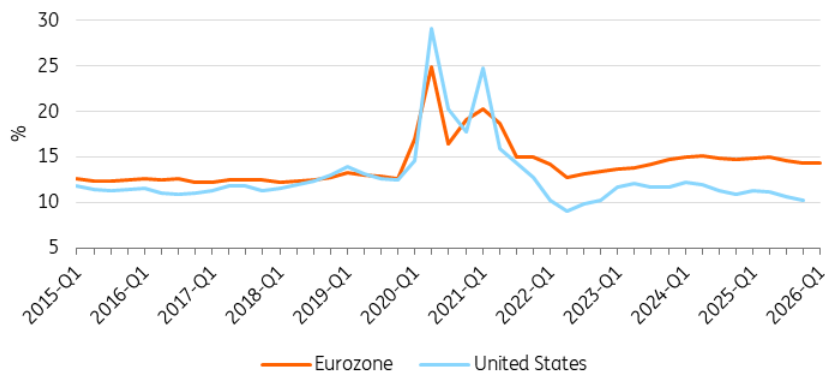
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

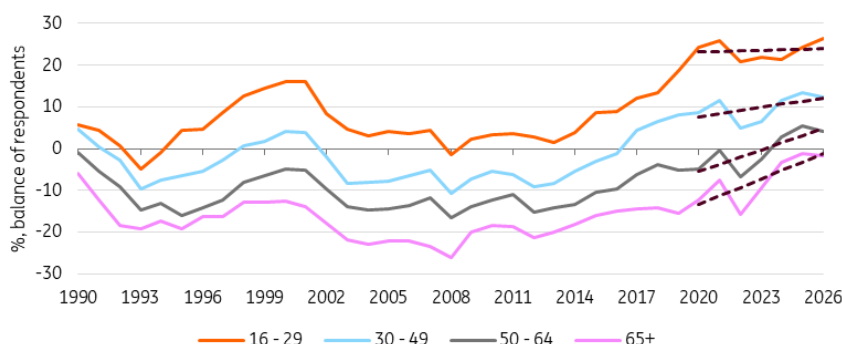
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

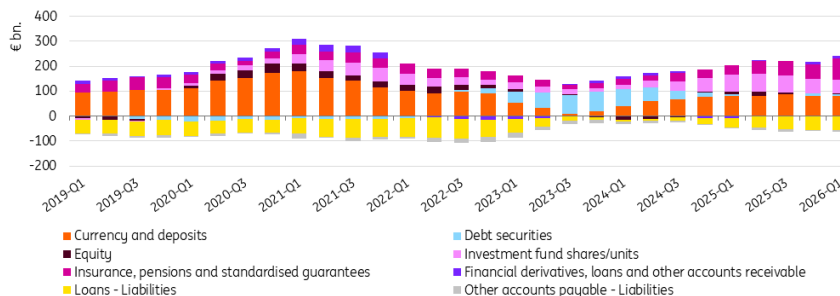
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

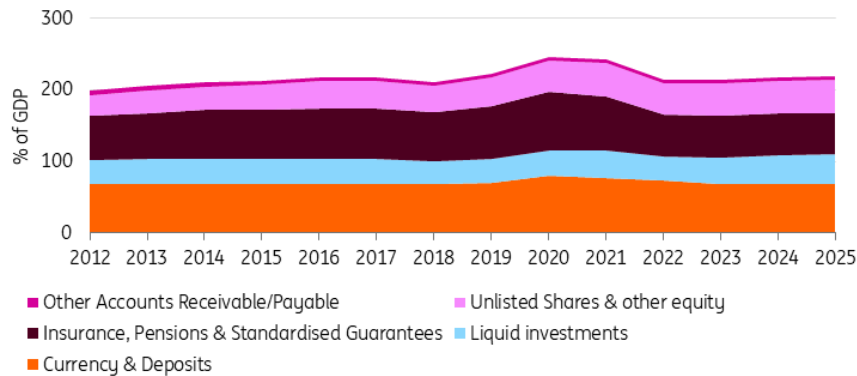
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 20 July 2026

FX

FX Daily: Energy prices will keep dollar supported

It is a familiar theme now, but deteriorating news flow from the Gulf is keeping energy prices, short-dated yields and the dollar all relatively well bid. In fact, the dollar should probably be doing better than it is. In a relatively quiet week for data, expect investors to continue favouring energy-exporting currencies, including the dollar



Higher oil and natural gas prices are bringing continued support to currencies like the dollar and the Norwegian krone

USD: Dollar should be stronger

Events in the Gulf continue to re-escalate, pushing [energy prices meaningfully higher](#). We are particularly focused on natural gas prices, which are now very close to their March highs again. And there is increasing focus on refined products, such as diesel, where higher prices can only add to fears of inflationary pressures being handed down global supply chains.

It is slightly surprising not to see the dollar a little stronger. The DXY dollar index is still about 1% off its June highs. This probably owes to last week's soft June US CPI and PPI data, which has taken some of the sting out of the hawkish Federal Reserve story. Markets now only price about 40bp of Fed easing over the next nine months compared to the 55-60bp of tightening priced for the eurozone and the UK. However, higher energy prices mean that the Fed will have

to remain alert, and in this environment we struggle to see that any investors already owning dollars will be inclined to sell.

Instead, we can probably see pairs like USD/JPY push a little higher. It looks like Japanese authorities have opted not to intervene during today's Marine Day public holiday, and it would not be a surprise to see USD/JPY briefly break above 162.75/85 over coming sessions on the assumption that the Bank of Japan is a no-show on intervention.

It is a quiet week for US data, and away from the Gulf, the focus will be on big tech earnings again, where Alphabet reports tomorrow. Overall, we expect DXY to continue to find support near 100.50 and push back to the 101.30 area.

Chris Turner

↓ **EUR: Yield spreads give euro a brief reprieve**

With Brent back above \$90/bbl, we would have expected EUR/USD to be trading under 1.14. However, it may well be the tighter correlation between energy and short-dated euro swap rates that is proving a supportive factor for the euro. Here, as in March, higher energy prices have driven quite a sizeable narrowing in the EUR/USD two-year swap spreads. Two-year EUR swap rates are now trading at a new high for the year, while last week's US inflation data has left short-dated US rates off their highs.

We do favour EUR/USD moving back below 1.14 on these high energy prices, but we are cognisant of the risk of a surprise rate hike from the European Central Bank this Thursday. The [macro team's view](#) is that the ECB might take the opportunity of higher energy prices to get a second hike in earlier than September. That is more the risk than the baseline view, and instead, we suspect the run-up in energy prices can push EUR/USD back to 1.1380 this week.

Elsewhere, the high-yielding, energy-exporting Norwegian krone has come back bid after a little wobble last week. EUR/NOK losses can extend to the 10.95 area.

Chris Turner

→ **GBP: Burnham enters office**

Andy Burnham is set to succeed Keir Starmer as the UK Prime Minister later today. Sterling has been doing quite well recently on the view that Burnham will select a more fiscally responsible chancellor in the form of Shabana Mahmood – an announcement that will probably emerge today.

However, we think a larger part of sterling's strength owes to stale short sterling positioning, and we suspect some large M&A flows going through, where cheaper valuations have made UK equities an attractive proposition this year.

While we do not rule out a little further sterling strength during the Burnham honeymoon period, the UK's tight fiscal situation suggests a new cabinet will have to turn to tax increases if it wants to build out its plans to improve areas such as social care.

EUR/GBP has support at 0.8470, and 0.8400 might be the best-case for sterling this summer, but we would not chase the EUR/GBP move lower.

Chris Turner

📉 CEE: Risk-off pressure dominates a light regional calendar

Market attention remains focused on the US-Iran conflict, with global sentiment still the main driver for CEE. The regional calendar is relatively light this week, with few releases likely to challenge the broader global narrative.

In Poland today, industrial output, wages and PPI may offer insight into the conflict's impact and whether a National Bank of Poland rate cut remains a realistic prospect, as recently suggested by the central bank governor.

In Turkey, inflation expectations will be the final key release before Thursday's Central Bank of Turkey meeting, where we expect rates to stay at 37% and funding to remain at the upper end of the corridor. The Hungarian central bank is very likely to cut rates by 25bp to 5.75%, as signalled by the governor at the previous meeting. Forward guidance will be key, particularly on whether recent FX pressure has shifted the bank's view.

Poland will also publish labour market data on Thursday, followed by Czech consumer confidence on Friday.

Following the latest escalation in the US-Iran conflict before the weekend, with no clear signs of de-escalation, risk-off sentiment is likely to persist this week and keep CEE assets under pressure. In FX, the forint has been hit hardest, reflecting crowded long positioning and the prospect of further central bank easing. EUR/HUF traded around 363 on Friday, close to post-election levels. We think the pair should peak around current levels, as the fundamental story remains unchanged, and the sell-off looks primarily like a positioning adjustment and profit-taking.

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Article | 20 July 2026

COMMODITIES DAILY

The Commodities Feed: Persian Gulf escalation pushes Brent above \$90

With little sign of de-escalation in the Middle East, oil prices continue to move higher as vessel flows essentially grind to a halt



Source: Shutterstock

Energy – Speculators jump into oil amid renewed disruptions

ICE Brent broke above US\$90/bbl this morning with no let-up in the escalation in the Persian Gulf. The US and Iran continue to exchange strikes, which are proving to be deadly for both sides. If this escalation goes unchecked, we could return to an environment of wide-scale attacks across the Persian Gulf. Vessel flows have essentially ground to a halt. LSEG data shows that only two outbound visible oil tankers transited the Strait of Hormuz, with no inbound traffic. Flows are essentially back to where they were before the Memorandum of Understanding (MoU).

Meanwhile, reports are that Iran told the Houthis in Yemen to essentially shut the Bab el-Mandeb Strait if the US attacks Iranian power infrastructure. This strait is important for vessel movements through the Red Sea. The Saudis have relied heavily on this route since the war began to bypass the Strait of Hormuz. If closure occurs, tankers would have to enter and exit the Red Sea via the Suez Canal. This would make Saudi oil exports to Asia a lengthier and costlier affair.

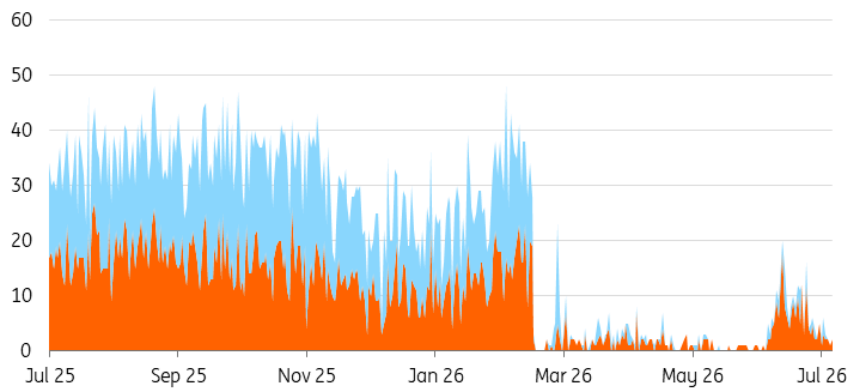
The issue for the oil market is that SPR releases, which have offered some relief during the war, are set to cease around the end of this month. This leaves the market relatively more vulnerable. Clearly, there's always the potential for SPRs to be tapped further. The US may be willing to do so, given that the 172m barrels it's in the process of releasing are structured as an exchange rather than a pure release. So, these barrels will be returned to the SPR plus interest in the form of additional supply.

Given the market moves in recent weeks, it's unsurprising to see speculators increase their net long in ICE Brent. They bought 114,752 lots over the last reporting week, leaving them with a net long of 169,839 lots as of last Tuesday. The move was driven predominantly by fresh longs entering the market. Meanwhile, speculators also increased their net long in ICE gasoil by 2,389 lots over the week to 71,875 lots. Given the recent move in the gasoil market, it's surprising that we have not seen more aggressive speculative buying, though this may be more evident in the next Commitment of Traders report.

The European gas market is seeing relatively more strength than oil this morning, with TTF up more than 5% and breaking above EUR60/MWh. The gas market is more vulnerable to these supply disruptions from the Middle East. The post-MoU rebound in vessel traffic made one thing clear: LNG flows lagged the recovery. If this latest flare-up follows the same pattern, any eventual resolution could again bring a slow LNG ramp-up — leaving the market exposed as we edge closer to the heating season. EU gas storage is less than 54% full vs. 64% last year and a five-year average of 69%.

On Friday, the European Commission announced its proposals for an overhaul of the Emissions Trading System (ETS). They include reducing the Linear Reduction Factor (LRF) for the emissions cap to 3.7% for 2031-2035 and to 1.7% for 2036-2040. This compares to a current LRF of 4.3%, which is set to rise to 4.4% starting in 2028. The proposal also includes increased free allowances for the period 2026-2030. The reduction of free allowances will be slowed, and the phase-out extended until 2038 for sectors covered by the Carbon Border Adjustment Mechanism (CBAM), starting in 2034. EUA prices were little changed on Friday, following the proposal, with much of it already priced in.

Strait of Hormuz visible oil tanker flows grind to a near halt



Source: LSEG, ING Research

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Article | 17 July 2026

FX

FX Daily: Unpacking the low-vol puzzle

DXY-weighted short-term implied volatility has continued to fall, now at 2021 levels, ignoring geopolitical and rate dynamics. The main reason could be the overall contained response to this spring's events. Risks are definitely of a pick-up in volatility from now on, and of short-term USD gains. The GBP rally has stalled; we expect more EUR/GBP upside



DXY short term vols are very compressed

➔ USD: Low vols carry risks

DXY-weighted one-month implied volatility has broken below the 5.50 area that marked the January, May and June lows. Excluding the Christmas 2025 dip, it is now at its lowest level since 2021.

That is remarkable given the serious military re-escalation between the US and Iran and the prospect of a new Federal Reserve tightening cycle. The explanation goes beyond the muted energy-market response to the July Gulf headlines. We suspect it primarily reflects how well contained volatility remained between March and May despite sizeable moves in both rates and commodity prices. Incidentally, AI-fuelled equity resilience still appears to be anchoring currencies and helping sustain a self-reinforcing low-volatility, carry-trade environment.

At this stage, risks are clearly skewed to the upside for both FX volatility and the dollar. The longer oil prices only partially price a new supply shock, the greater the risk of non-linear

rallies. But there is also a realistic path towards Middle East de-escalation, lower oil prices and more dovish flexibility at the front end of the USD curve. That would ultimately point to a weaker dollar across the board. This remains our baseline for after the summer, although we acknowledge that the near-term backdrop looks far less supportive for USD bears.

Today's US calendar includes University of Michigan surveys, industrial production and housing starts. We will also hear from Fed dove Philip Jefferson after yesterday's unsurprisingly hawkish remarks from Lorie Logan and Jeffrey Schmid.

Francesco Pesole

➔ **EUR: Stuck rangebound for now**

Our macro team has published their [preview](#) of next week's European Central Bank meeting. We expect a consensus hold, but rising oil prices have reopened the door to a surprise hike. Higher energy costs have pushed the macro backdrop back towards the ECB's June baseline scenario, which assumed at least two rate hikes.

While softer inflation data argues for patience, some hawks may favour another "insurance" hike to reinforce the ECB's inflation-fighting credibility. Our base case remains a September move, but next week's meeting could still deliver one final hawk-dove showdown before the summer break.

Barring surprising revisions in the eurozone's June CPI, markets' headline fatigue can keep EUR/USD hovering around the 1.420/1.460 area today. For the moment, there appears to be little in place to drive either a break above 1.150 or a retest of sub-1.135 levels.

Francesco Pesole

➔ **GBP: More room to give back gains**

EUR/GBP has rebounded after an extended run of an important break lower. Still, at 0.850, it remains around 1.5% undervalued according to our short-term fair value model.

As discussed recently, positioning adjustments and carry trade attractiveness likely played an important role in driving GBP strength. But approaching a change in government (Andy Burnham becomes UK Prime Minister next week) with short-term overvaluation is a risk for the pound. Watch for headlines about Burnham today, as he's scheduled to make a big speech.

Incidentally, we still see plenty of downside risk for front-end GBP rates. Market pricing for 35bp of tightening by year-end looks way too aggressive. Our call remains a hold. We still expect a return to 0.870 in EUR/GBP by the end of the summer.

Francesco Pesole

↓ CEE: Surprising sell-off bringing new opportunities

After two days of relief in Central and Eastern Europe, markets moved back into risk-off mode yesterday, contrary to our expectations, with a broad sell-off across asset classes. Elevated oil prices and higher core rates pushed CEE rates higher, with a steepening bias. Markets slightly increased the implied probability of Czech National Bank rate cuts, now pricing almost two hikes. In Poland, rate cut expectations for this year fell to around 20%, while in Hungary the expected easing cycle has been scaled back from 150bp a few days ago to 120bp.

Hungarian assets are facing the heaviest selling pressure within the whole EM space over the last several days, which we attribute to crowded long positioning and a broadly bullish market view since the April general elections. Yesterday's move likely reflected some profit-taking and risk reduction amid global uncertainty. However, we do not think the underlying story has changed much: both rates and FX remain attractive, particularly after the sell-off and improved entry levels.

We continue to see value at the front end of the curve, further steepening and the currency, while the recent sell-off appears to have been overdone. EUR/HUF stabilised above 361, its highest level since mid-May and close to post-election levels. We still see 350-360 as the most likely EUR/HUF range for the rest of the year.

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Article | 17 July 2026

ASIA WEEK AHEAD CHINA INDONESIA

Asia week ahead: Indonesian rate call and key data on Korea, Singapore, Taiwan

Indonesia's interest rate decision and South Korea's second-quarter GDP are the highlights of the week. Key data includes Singaporean inflation and Taiwanese export orders. China will mull changes to loan prime rates



Asia Research highlights of the week

[China slowdown worse than expected on weak domestic demand](#)

[China's trade grows at the fastest pace since 2021](#)

[Asia FX Talking: Large export flows yet to help North Asian FX](#)

[A prescription for power – China's biotech boom and the new global pharma order](#)

Indonesia: BI to raise rates 25bps aimed FX stability

We expect Bank Indonesia to hike rates by 25bps to 6.0% on Wednesday, reflecting its continued focus on FX stability. Higher policy rates and attractive Sekuritas Rupiah Bank Indonesia (SRBI) yields are aimed at attracting foreign inflows, especially as the rupiah remains vulnerable. While inflation remains contained, the recent rise in oil prices revived concerns over Indonesia's external balances. It underscores the need for clear and credible policy action to support the currency.

South Korea: Net exports drive second-quarter GDP

South Korea releases second-quarter GDP data on Thursday. We expect GDP to moderate to 1.0% quarter-on-quarter, but year-on-year growth should accelerate to 4.2%. Net exports are likely to contribute positively to overall activity. The sharp improvement in the terms of trade will eventually play a positive role in the domestic economy. Thanks to fiscal support, private consumption is expected to expand modestly.

Singapore: Inflation expected to firm in June

We expect Singapore's headline and core CPI inflation to firm in June. Higher global energy and food prices are likely to pass through to domestic costs. Rising demand for AI-related infrastructure and digital services, meanwhile, should place additional upward pressure on prices.

Taiwan: Strong export orders, IP amid tech boom

Taiwan releases export orders data on Tuesday. We look for orders to remain strong but to moderate a bit to 43.9% YoY in June. Two categories, Electronic Products and Information and Communication Products, account for the bulk of export orders. We expect industrial production data to show an acceleration to 15.2% YoY. Both data points hinge on the health of Taiwan's tech exports.

China: No change in LPR expected

It's a quiet week ahead for China in terms of macro news, after [the most recent data showed China's growth notably decelerating](#) in the second quarter. On Monday, we expect China to announce no change in its loan prime rates.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 20 July				
China	0915	Jul Loan Prime Rate 1Y	3	3
	0915	Jul Loan Prime Rate 5Y	3,5	3,5
Tuesday 21 July				
Taiwan	1600	Jun Export Orders (YoY%)	43,9	47,2
Wednesday 22 July				
Japan	0750	Jun Exports (YoY%)	CF: 18	17
	0750	Jun Imports (YoY%)	CF: 20	12,5
	0750	Jun Trade Balance (JPY bn)	CF: -98,4	-378,7
Indonesia	1530	Rate Decision (%)	6	5,75
Taiwan	1600	Jun Unemployment Rate	-	3,3
Thursday 23 July				
Australia	0930	Jun Unemployment Rate (%)	4,4	4,4
Indonesia	1100	Jun M2 Money Supply (YoY%)	-	10,8
Philippines	1300	Jun Budget Balance (PHP bn)	-	-198,5
Singapore	1300	Jun Core CPI (YoY%)	1,7	1,4
	1300	Jun CPI (YoY%)	2,2	1,8
	1600	Jun Industrial Output (YoY%)	15,2	11,8
South Korea	1620	Jun M2 Money Supply (YoY%)	-	7,8
	0700	Q2 GDP Growth Advance (QoQ%/YoY%)	1,0/4,2	1,8/3,8
Friday 24 July				
Japan	0730	Jun CPI (YoY%)	CF: 1,7	1,5
	0730	Jun Core CPI (YoY%)	CF: 1,6	1,4
	0830	Jul S&P Global Manufacturing PMI Flash	-	54,8
	0830	Jul S&P Global Services PMI Flash	-	52,2
	0830	Jul S&P Global Composite PMI Flash	-	52,8
Australia	0700	Jul S&P Global Manufacturing PMI Flash	-	51,5
	0700	Jul S&P Global Services PMI Flash	-	50,5
	0700	Jul S&P Global Composite PMI Flash	-	50,4
India	1930	FX Reserves (USD bn)	-	666,9
Singapore	1300	Jun Manufacturing Output (MoM%/YoY%)	-/-	-0,7/13

Note: CF = market consensus forecast data

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Article | 16 July 2026

FX

FX Daily: The big GBP short unwinding continues

The dollar stayed under pressure as PPI confirmed that inflation pressure eased in June. Still, with the Gulf situation apparently far from de-escalation, we don't see much more USD downside potential in the near term. Instead, sterling is emerging as a major outperformer on the back of further positioning adjustments



News that Shabana Mahmood could become Andy Burnham's chancellor has boosted the pound

📈 USD: Losing more ground

The dollar has remained under pressure, with FX volatility resuming its decline after a short-lived bounce earlier this week. Brent settling at around \$85/bl is seemingly not enough to drive inflation expectations much higher, and the USD front-end continues to feel some gravitational pull from soft June CPI data. PPI was also rather muted yesterday: -0.3% MoM for headline, 0.2% MoM for core.

At the same time, the two-day testimony by Fed Chair Kevin Warsh and a speech by Chris Waller are warning markets against reading too much into one single inflation print. According to Waller, the disinflationary trend must be visible over a few months to call off hikes. Hardly a guarantee now that oil prices have risen again.

All in all, markets may remain content with one Fed hike priced in this year. As some other central bank pricing catches up on the upside, the dollar might still be inching lower in most crosses.

US retail sales for June are published today, and are expected to grow at 0.2% MoM after four very strong months. The Fed's Logan and Schmid (both hawks) are scheduled to speak.

Francesco Pesole

↓ **EUR: Rally should lose steam**

We aren't convinced this EUR/USD rally has much further to run, barring clear signs of a de-escalation in the Middle East. The rise in gas prices (more impactful for the eurozone's terms of trade than crude) should prevent the euro from building any idiosyncratic narrative at this point.

We expect EUR/USD sellers to emerge around the 1.1500 area, and see a greater chance of rangebound stabilisation at this stage rather than a break higher. The eurozone calendar is empty today, with the ECB entering its pre-meeting quiet period.

Francesco Pesole

↑ **GBP: Shorts on the run**

The sterling short squeeze continues. The catalyst for EUR/GBP to break below 0.8500 yesterday was reports that Shabana Mahmood would be Andy Burnham's pick for chancellor when he likely comes to power next week. Mahmood is seen to the right of the Labour Party and a less divisive – and potentially less fiscally expansive – candidate for chancellor than Ed Miliband. 10-year UK gilts outperformed German Bunds by around 5bp yesterday.

The strength of the sterling rally looks more a function of position adjustment rather than a massive re-assessment of the prospects for UK PLC, however. Positioning data from US futures exchanges had recently shown speculators running the shortest sterling positions since 2017. It may be difficult to stand in the way of the sterling rally in the short term, where a sustained break of 0.8470 opens up 0.8400 for EUR/GBP, while GBP/USD could make a run at 1.3600/3650. And next week looks a big one for UK inputs, with Burnham taking the reins and both CPI and jobs data released.

Yet when position-adjustment activity fades and investors return to the UK macro/Bank of England story, EUR/GBP should be able to retest the recent break-out area around 0.8600/8610. That may be a story for much later this month.

Chris Turner

CEE: Stabilisation should bring buyers back to region

The CEE region remains in the grip of global events, with a dovish shift in Fed pricing on one hand and still elevated oil prices on the other. We may see some relief in the region for the second day in a row, but the risks are not changing much for now. However, the worst of the US-Iran escalation now appears to be behind us, barring any fresh developments. This could attract more interest in CEE FX in the event of another day of stability and take advantage of cheaper levels, especially in the Hungarian forint, which remains at the upper edge of our 350-360 EUR/HUF range.

Today's data in the region has little chance of changing anything with the dominant global story. In Hungary, wages for May will be published, which remain elevated and the highest within the CEE region, and at the same time, one of the few upside risks for the inflation profile. In Poland, core inflation will be published for June. Yesterday's final figures confirmed headline inflation at 2.5%. Core, according to our estimates, fell from 3.1% in May to 3.0%.

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